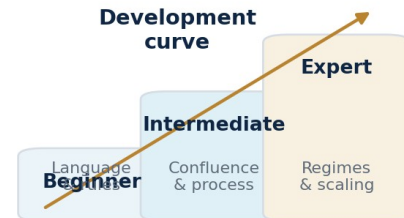
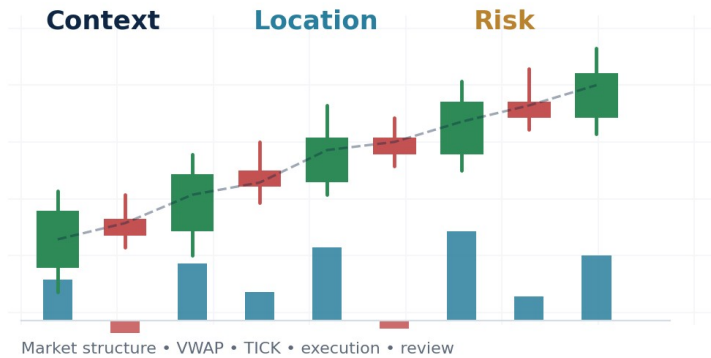


Intraday Trading Framework

A practical development outline for beginners, intermediate traders, and advancing experts.

Focus: market structure • trade location • VWAP • TICK • execution • review



Use this as a training framework, not a signal service. The objective is repeatable decision quality: **context first, location second, risk always.**

This guide is organized so each concept includes a direct **TL;DR** plus beginner, intermediate, and expert interpretations.

How to use this outline

The fastest way to misuse a trading framework is to treat tools as standalone signals. This outline is built around a stricter sequence: classify the day, mark inflection points, wait for confirmation, define risk, and then review the trade with evidence. Definitions and risk notes are based on public educational materials from Investor.gov, FINRA, CFTC, Charles Schwab, and other sources listed in the References section.

Guide map

- 1. Market structure and price language
- 2. Trade location and inflection points
- 3. VWAP, volume, and session context
- 4. TICK and market internals
- 5. Exhaustion vs. continuation
- 6. Orders, execution, and risk
- 7. Review, metrics, and skill growth
- 8. Development roadmap, checklists, and playbooks

Universal TL;DR

- Context decides whether a move is more likely to continue or fail.
- A good level matters more than a busy chart.
- Breadth and volume help with timing, not with replacing structure.
- Enter only where invalidation is clear and affordable.
- Manage size so you can think clearly while in the trade.
- Review turns outcomes into edge; screenshots matter.

TL;DR If you remember only one sequence, remember this: identify the regime, mark the level, wait for confirmation, size from the stop, and review the trade with hard evidence instead of memory.

Process quality usually improves before P/L becomes stable. That is normal.

The six-question trading framework

Every trade should answer these questions before size is put on. If one answer is weak or missing, the trade quality drops even if the chart looks attractive.

The six-question trading framework



A trade should answer all six questions before size is added.

Question	Why it matters
What is today's regime?	Determines whether pullbacks, breakouts, or fades deserve the most respect.
Where is the real level?	Creates trade location and prevents entries in the middle of noise.
What confirms the idea now?	Separates a planned trigger from a random impulse click.
Where is invalidation?	Defines the stop, position size, and whether the trade is affordable.
How will I manage it?	Prevents emotional exits, random adds, and late target changes.
What will I review later?	Turns the trade into data for improvement instead of a vague memory.

Module 1 — Market structure and price language

TL;DR Price is an auction. A candle matters more when it forms at a meaningful location and when volume or breadth agrees with it.



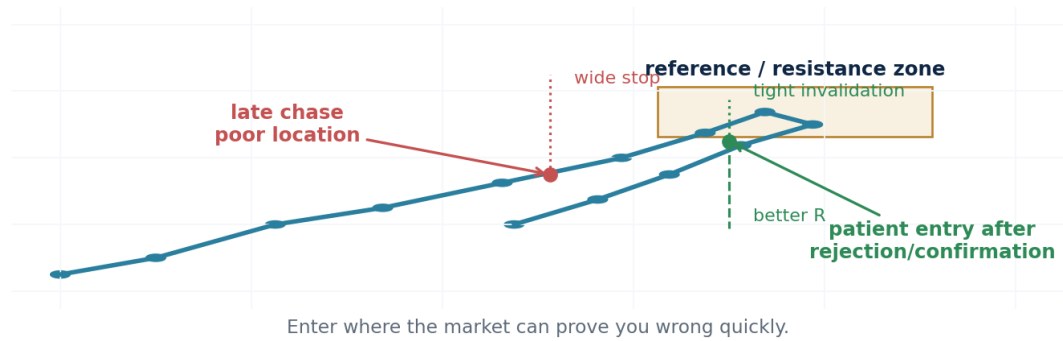
Beginner	Learn the vocabulary first: open, high, low, close, support, resistance, trend, range, reclaim, and breakdown. Focus on recognizing when price is trending and when it is oscillating between edges. New traders often lose money by trading the middle of a range as if it were a breakout.
Intermediate	Start mapping the session high, session low, overnight or premarket extremes, the opening print, and pullback zones. Compare time-based candles with volume-based views only after you already understand structure; the goal is better context, not more complexity.
Expert	Classify the day type early: opening drive, range, reversal, grind trend, or news-driven disorder. Think in terms of acceptance versus rejection, not just candle colors. A strong trader can say what kind of auction is taking place and what type of trade should be avoided.

Read	Likely implication
Trend with higher lows / lower highs	Continuation setups usually deserve more respect than aggressive fades.
Range between clear edges	Edge often sits near the boundaries, not in the middle.
Large news-driven gap	Opening prints can be noisy; patience and smaller size matter more.

Module 2 — Trade location and inflection points

TL;DR Edge improves when your entry is close to the spot that proves you wrong. Great location usually beats extra indicators.

Trade location matters more than adding extra indicators



Beginner	Before entry, write down the level, the trigger, the stop, and the first target. If you cannot explain where the idea fails, you do not yet have a trade plan. This simple habit removes a huge amount of emotional decision-making.
Intermediate	Use retests of broken support or resistance, session opens, VWAP interactions, prior highs and lows, and failure points to tighten the location. Do not confuse a good idea with a good entry; the same idea can be high quality or low quality depending on where it is initiated.
Expert	Stack location with confluence: structure, breadth, retracement, time of day, and liquidity. Expert traders are patient enough to pass on the early version of a trade if waiting a little longer dramatically improves the stop distance and risk/reward.

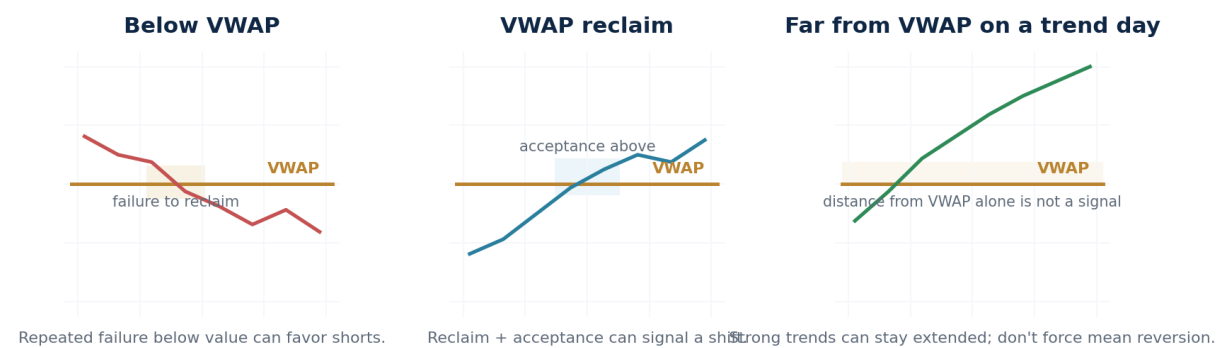
Position-size reminder: position size = dollar risk ÷ stop distance. If the stop is too wide for your account or your plan, reduce size or pass.

Good location	Poor location
Entry near a level with nearby invalidation	Entry after a large chase move with a distant stop
Planned trigger after rejection or acceptance	Impulse click because price moved quickly
Risk sized from the stop	Size chosen first, stop invented later

Module 3 — VWAP, volume, and session context

TL;DR VWAP is a session benchmark for where volume has transacted. It gives context, but it is not an automatic buy or sell signal.

VWAP gives intraday context, not automatic entries

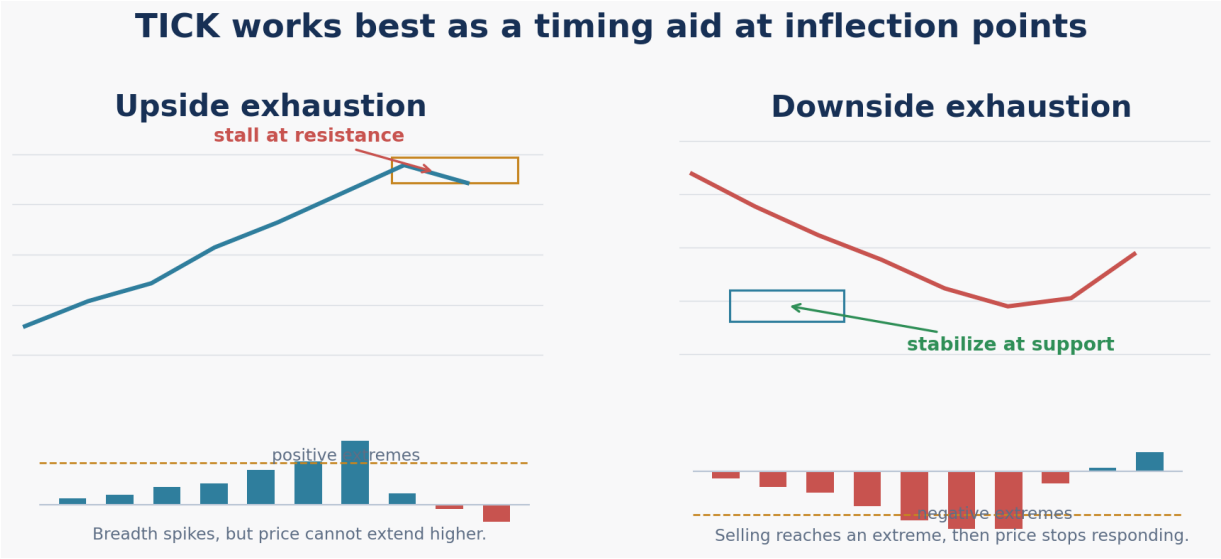


Beginner	VWAP stands for volume-weighted average price. In plain language, it is the average intraday price adjusted for how much volume traded at each price. Many traders use it as a reference for fair value and for judging whether buyers or sellers currently control the session.
Intermediate	Watch how price behaves around VWAP: rejection below, reclaim above, repeated acceptance on one side, or failure to hold a reclaim. VWAP becomes more useful when combined with prior highs/lows, the open, and your market-internals read.
Expert	Respect the limitations of VWAP. In strong trend days, price can live far away from it. On chaotic news opens, early prints can distort context. The expert use is not blind mean reversion; it is understanding when VWAP acts as value and when the market is willingly transacting away from value.

VWAP behavior	What to ask
Repeated failure below VWAP	Is value rejecting higher prices and supporting a short thesis?
Clean reclaim and hold above VWAP	Is this a true shift in control or just a brief squeeze?
Price stretched far from VWAP	Is this a strong trend day, or are you forcing a reversion idea too early?

Module 4 — TICK and market internals

TL;DR TICK is a short-term breadth read. It becomes more useful when you ask how price behaves at a level while breadth expands or exhausts.



Beginner	A positive TICK means more NYSE stocks are upticking than downticking at that moment; a negative TICK means the opposite. Around zero, participation is more balanced. Think of TICK as a real-time breadth snapshot rather than as a price pattern.
Intermediate	After the earliest opening skew settles, watch whether TICK spends most of the session above or below zero, whether spikes align with key levels, and whether price actually responds. A large positive spike into resistance that cannot keep price moving higher can signal upside exhaustion; the mirror image can happen at support.
Expert	Do not treat threshold numbers as universal. Data feeds, opening gaps, and day types all change the feel of the indicator. The expert read is about distribution, persistence, and response: where is TICK living, when does it reach an extreme, and does price continue, stall, or fail from that point?

Heuristic intraday zones such as ± 400 , ± 600 , and ± 1000 are common reference bands among traders, but they are contextual, platform-dependent, and should not be treated as fixed rules.

Module 5 — Exhaustion vs. continuation

TL;DR Strong buying or selling can mean continuation or the last burst before failure. The deciding factor is whether price can still accept and extend.

Continuation vs. exhaustion

Continuation

- 1 Price reaches a key level
- 2 Breadth supports the move
- 3 Pullback holds / value is accepted
- 4 Next push expands in the same direction

Exhaustion

- 1 Price reaches a key level
- 2 Breadth becomes extreme
- 3 Price cannot continue / fails the level
- 4 Reverse side starts to expand

Extreme buying or selling is not automatically a reversal; the key question is whether price still responds.

Beginner	Continuation means the market reaches a level, holds it, and keeps expanding in the same direction. Exhaustion means pressure becomes extreme, but price stops responding. The key lesson: an extreme reading alone is not enough; price has to either accept or fail.
Intermediate	Only fade an extreme when it occurs at a reference area and when invalidation is nearby. Only chase continuation when pullbacks are shallow and breadth re-expands with the trend. If the market sits in the middle of nowhere, the signal quality drops even if the indicator looks dramatic.
Expert	Separate a pause from a real failure. Experts watch for the second push, the retest, the response around VWAP or prior failure points, and whether opposite-side breadth begins to sustain. A true reversal often needs confirmation; impatience is one of the most expensive forms of overconfidence.

Illustrative short thesis	Illustrative long thesis
Strong push up → reference zone retest → positive TICK spike → price cannot reclaim / hold → short on failure with stop above invalidation	Strong push down → support retest → negative TICK spike → price stabilizes and reclaims → long on confirmation with stop below invalidation

Module 6 — Orders, execution, and risk

TL;DR A good chart idea can still become a poor trade if execution is sloppy or if size is too large for the stop.

Beginner	Know the core order types: market for immediacy, limit for price control, stop for risk triggering, and stop-limit for tighter control after a trigger. Never place size without already knowing where the trade is wrong and how your order may behave in a fast market.
Intermediate	Use bracket thinking: entry, stop, first objective, and conditions for holding or exiting the rest. Set a maximum daily loss before the session. If slippage or volatility makes the setup too expensive, reducing size or passing is a sign of professionalism, not weakness.
Expert	Track execution quality as its own skill. Separate strategy error from order-placement error. Add only where the playbook allows it, cut size when variance or emotional intensity rises, and use a kill switch when you are no longer trading the plan but reacting to frustration.

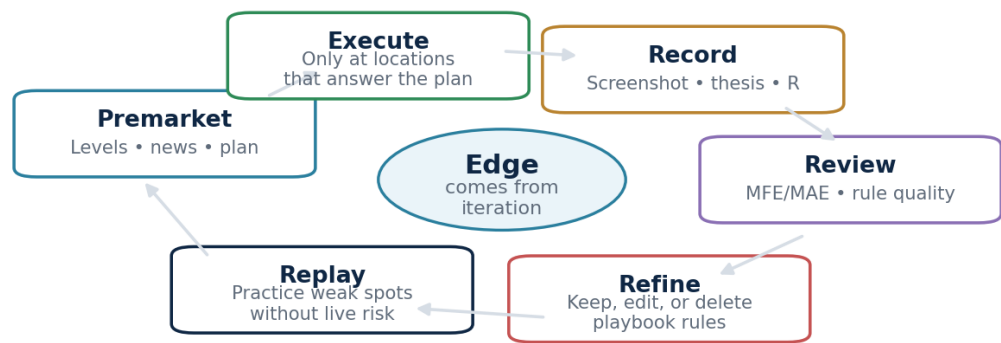
Order type	Best use	Main caution
Market	Immediate execution in liquid conditions	Execution price is not guaranteed
Limit	Price control at a chosen level	May not fill at all
Stop	Risk trigger once a price is reached	Becomes a market order; slippage can occur
Stop-limit	More control after the trigger	May not execute in fast conditions

Two formulas worth memorizing: position size = dollar risk ÷ stop distance; **R multiple** = P/L ÷ initial risk.

Module 7 — Review, metrics, and skill development

TL;DR Review is the compounding engine. Traders who document well learn faster than traders who rely on memory.

The review loop that turns screen time into skill



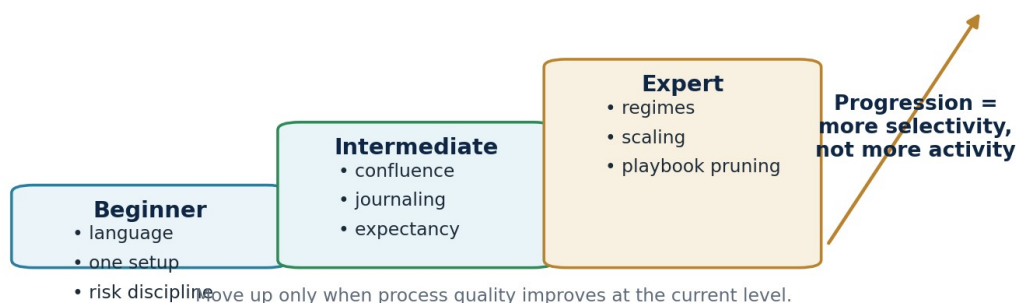
Beginner	Save a screenshot of every trade. Write the setup, the trigger, the stop, the target, and whether you followed your rule. The goal is not literary quality; the goal is an evidence trail you can actually review.
Intermediate	Track setup type, regime, time of day, realized R, maximum favorable excursion, maximum adverse excursion, and a simple rule-adherence score. This helps you find whether a strategy is weak, whether the execution is weak, or whether both are weak.
Expert	Compute expectancy by setup and by regime, study when slippage rises, and identify where overtrading starts. Experts prune low-edge trades from the playbook and protect concentration risk by avoiding the same mistake in multiple forms.

Metric	Why it matters
Win rate	Useful, but incomplete without average win, average loss, and execution costs.
Average win / average loss	Shows whether your payoff profile can survive inevitable losing streaks.
Expectancy	Best single summary of strategy quality over a sample.
MAE / MFE	Reveals whether stops and targets are realistic for the setup.
Rule adherence	Separates process quality from pure outcome luck.
Time of day	Often reveals hidden overtrading windows and fatigue patterns.

Development roadmap — beginner to expert

TL;DR Do not level up by adding more markets or more indicators first. Level up by improving selectivity, review quality, and consistency.

Development ladder



Stage	Main focus	Minimum standard before leveling up
Beginner	Language, one market, one setup, order types, fixed risk habits	A reviewed sample of trades with consistent stop placement and strong rule adherence in simulation or very small size
Intermediate	Confluence, VWAP/TICK context, journaling, expectancy, playbook clarity	A repeatable process with clear no-trade conditions and evidence that the setup works across multiple sessions
Expert	Regime adaptation, scaling, playbook pruning, analytics, behavior control	Stable process across different conditions, controlled drawdowns, and execution that remains disciplined under stress

What not to rush: more size, more setups, more markets, and more screen time without better review.

Session checklists

TL;DR Checklist discipline keeps a trader from acting on adrenaline. If key boxes are not checked, the default answer can be no trade.

Premarket

- Map overnight or premarket highs and lows.
- Check scheduled news, economic releases, and event risk.
- Mark the open, major reference zones, and likely invalidation areas.
- Write the two most likely day types and what would cancel each thesis.
- Decide maximum daily risk before the session starts.

At the open

- Ask: trend, range, reversal, or news chaos?
- Watch where price is trading relative to the open and VWAP.
- Wait for location; do not manufacture a trade from motion alone.
- Use TICK or breadth only after the earliest opening distortion settles.
- Know your stop and size before clicking.

Post-trade / end of day

- Save annotated screenshots.
- Record entry, stop, targets, realized R, MAE, and MFE if possible.
- Score rule adherence separately from P/L.
- Write one thing to keep, one thing to improve, one thing to avoid tomorrow.
- If you broke rules, define the corrective process before the next session.

Sample playbooks

TL;DR A playbook is not a prediction. It is a narrow set of conditions, triggers, invalidations, and management rules.

Playbook	What must be present	Management note	Avoid when
Pullback trend continuation	Clear trend structure, shallow pullback, VWAP/open support, breadth re-expands with trend	Take partials into obvious extension; hold more only if internals stay supportive	Middle-of-range chop, weak breadth, or trend already overextended without a clean pullback
Gap-and-fail / exhaustion fade	Strong opening push, reference zone or failed reclaim, TICK/breadth extreme, price fails to accept the level	Enter on failure, not merely on the extreme reading; pay yourself near first objective	No structural level nearby, no confirmation, or persistent trend breadth that keeps extending

Rule of thumb: if you cannot state the invalidation in one sentence, the playbook is still too vague.

Expert lens — regime matrix

TL;DR Experts do not force the same tactic onto every day. They adapt the playbook to the auction regime.

Regime	What it often looks like	What deserves emphasis	Common trap
Trend day	Price accepts away from VWAP and breadth stays directional	Pullback continuation and patience with winners	Fading every extreme just because it looks stretched
Range day	Rotation around value, TICK spends more time near balance	Fading the edges and taking profits faster	Expecting clean trend follow-through from the middle
Reversal day	Failed auction at an edge, then opposite-side confirmation develops	Retest failures, breadth shift, and confirmation over anticipation	Entering before the level actually fails
News / opening chaos	Large gaps, fast repricing, unstable opening data	Patience, smaller size, wider invalidation or no trade	Treating the first prints like a normal session
Late-day squeeze or liquidation	Breadth accelerates into the close and reversals can be violent	Managing open risk tightly and respecting time of day	Holding mean-reversion ideas too long into closing momentum

Broker rules, data feeds, and platform behavior differ. Verify current order handling, risk settings, and regulatory requirements with your broker before trading live.

Plain-English glossary

Term	Meaning
Breadth	A measure of how widely market participation is spread. TICK is one short-term breadth read.
TICK	The difference between the number of NYSE stocks upticking and downticking at a moment in time.
VWAP	The intraday average price weighted by volume; often used as a session benchmark.
Volume bar	A chart bar that closes after a chosen amount of volume trades instead of after a fixed time interval.
Inflection point	A location where the market may accept, reject, continue, or reverse.
Invalidation	The price action or level that proves the trade idea wrong.
Acceptance	The market holds and transacts comfortably in an area rather than rejecting it quickly.
Rejection	The market probes an area but fails to stay there.
R multiple	Profit or loss measured in units of initial risk.
MAE / MFE	Maximum adverse excursion and maximum favorable excursion; useful for evaluating stop and target fit.
Expectancy	The average amount a setup is expected to make or lose over many trades.
Exhaustion	A state where pressure becomes extreme but price stops responding in the same direction.

Selected references

These sources were used for definitions, order-type cautions, risk notes, and VWAP/TICK context. Platform-specific thresholds and order behavior should always be verified with your own broker and data feed.

- **Investor.gov** — "**Understanding Order Types**" — Definitions and cautions for limit, stop, stop-limit, and trailing stop orders.
- **FINRA** — "**Order Types**" — Plain-language overview of market, limit, and stop orders and their risks.
- **FINRA** — "**Day Trading**" — General margin and day-trading risk context.
- **CFTC** — "**Basics of Futures Trading**" — Risk disclosures and suitability cautions for futures trading.
- **Charles Schwab** — "**How to Use Volume-Weighted Indicators in Trading**" — VWAP definition and intraday context.
- **Investopedia** — "**Understanding Tick Index**" — General TICK definition and common short-term usage ideas.

TL;DR Your next improvement is rarely a new indicator. It is usually better location, smaller and more precise risk, and better review after the trade.